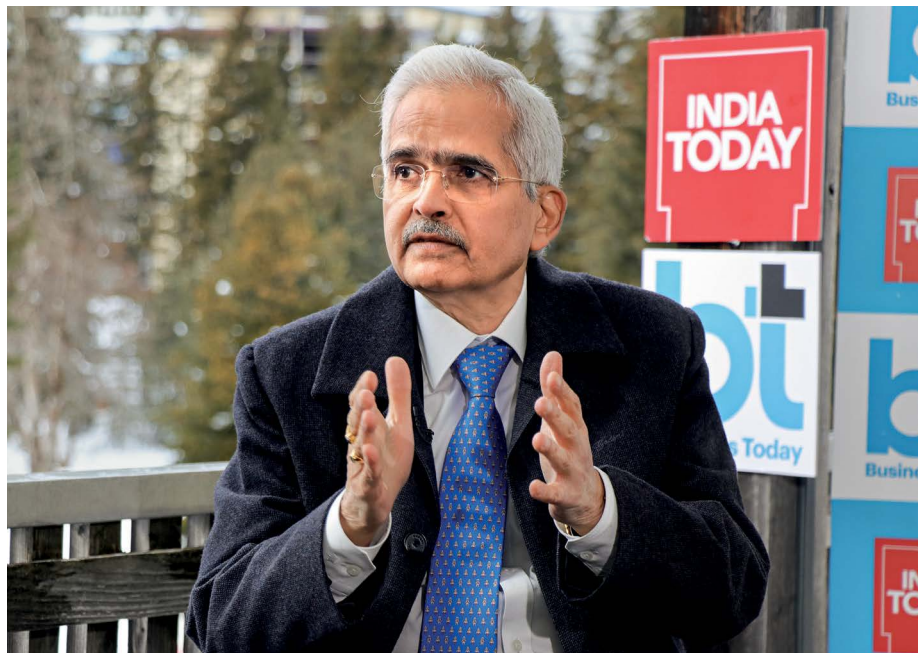




62 | *ation. How is the price situation likely to pan out in 2024?*

CPI inflation... headline inflation is moderating and this trend of moderation towards 4% will continue—that is our expectation, I have said elsewhere that next year, that is FY25, the average inflation will be 4.5%. Inflation month after month—you're talking about the calendar year 2024—our expectation at this point of time is that it will moderate. Within inflation, the core part of inflation has also moderated significantly; it is in fact little below 4% now. And core inflation is substantially impacted by monetary policy actions. So, core inflation has come around 3.8% or so. It's

food inflation that needs careful monitoring, because food inflation is exposed to external [risks]. There are two external risk factors—like some disruption in supply chain or climate-related changes or domestic weather-related events; you had heavy rain in one month and suddenly the prices of tomato go up, causing vegetable inflation to impact the headline inflation in a substantial manner. So given these uncertainties with regard to food inflation, the volatility is built around it because of weather-related events and because of external developments, that is one area that needs careful monitoring.

So far as the Rabi crop

is concerned, initially, there were fears of Rabi sowing area falling short of the annual average. But as we speak here, I think the shortfall is very, very marginal compared to last year's bumper crop. Rabi sowing is now almost at last year's level. That is also a positive for domestic food inflation. But the fact that there is volatility coming from external factors, external sources, and the uncertainty around weather-related events, they need to be carefully watched, especially from the point of view of food inflation.



Would it be possible for you to share what you're asked about the Indian

economy by people from across the globe?

I think there is a lot of interest to know how India has managed it with regard to maintaining this kind of macroeconomic resilience, this kind of financial stability. Basically, people like to know how India has been able to manage it. So there is a lot of interest in that area. But there is evidence of growing confidence on India and the potential and the robustness of the Indian economy.

On one hand at the fiscal level at the central government level, we have Modinomics. Has anyone told you that they are also following 'Das Capital' very closely?

That's for people like you to assess or say, but we should not get carried away by such [epithets]. On a serious note, I think we have to remain focussed. We have achieved all this... banking sector has shown remarkable turnaround, the economy is showing its resilience, financial sector is remaining stable. So, we have to not only preserve this, but we have to further build on that. I think that should be our focus. **BT**

@sazarabi

The interview took place before the

Reserve Bank of India's monetary policy meeting in February 2024